Also, if you're in the military, banks are required by law to give you an extra nine months after you complete your service before they can foreclose on your property. Beyond that, you might also qualify for refinancing programs through the Veterans Administration (www.va.gov).

- **Try loan modification.** In rare cases, you can modify your loan by getting your lender to lower the interest rate or reduce the payments. Banks don't want to foreclose on your home—it takes a lot of time, expense, and paperwork for them. Lenders evaluate requests for loan modification on a case-by-case basis, so you'll have to apply to your lender and see if anything can be arranged.
- **Don't walk away from your home or trash it.** If you're feeling desperate, it may seem logical to just walk away. Don't! It is almost always better to try to sell your home at a loss, however big, than to give it up. Be wary of companies that will take your money in order to help you walk away—sometimes all they provide is financial counseling that you could get elsewhere for free. If you do walk away or ruin the property, not only will you destroy your credit, you will also give up any chance of returning. The lender may also come after you for the damages, even after a foreclosure.
- **Reach out for help.** The Homeownership Preservation Foundation (www.995hope.org) is a federally supported effort to help distressed homeowners. You can learn more about avoiding foreclosure and about government-sponsored programs to help homeowners by calling the Homeowners' HOPE hotline, 888-995-HOPE. HUD has also revamped its website (www.hud.gov) with a link to its new *Guide to Avoiding Foreclosure*, which provides details about the agency's latest housing information and resources to help home buyers in trouble. You can also reach out to the National Foundation for Credit Counseling (www.nfcc.org) to find a credit counselor. If you work at a university or a school, or belong to a credit union, see if there are people